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Introduction	Introduction	Introduction
First variant Question Paper	First variant Mark Scheme	First variant Principal Examiner's Report
Second variant Question Paper	Second variant Mark Scheme	Second variant Principal Examiner's Report

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- First variant Question Paper / Mark Scheme / Principal Examiner's Report

or

- Second variant Question Paper / Mark Scheme / Principal Examiner's Report

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First Variant Question Paper

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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

9674362973

BUSINESS STUDIES **7115/11**

Paper 1 **October/November 2008**

1 hour 45 minutes

Candidates answer on the Question Paper.
No Additional Materials required.

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DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The businesses described in this question paper are entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

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1 Hersha Singh runs a textile manufacturing business. He pays his workers a high hourly wage rate. He is thinking of introducing a piece rate element but with a lower hourly wage rate. He is not sure whether such a change would benefit either his business or his employees.

(a) (i) Explain what is meant by a 'high hourly wage rate'.

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.....[2]

(ii) Do you think that the introduction of a piece rate element will benefit the following? Explain your answers.

1. His employees: .....

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2. Mr Singh's business: .....

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.....[6]

(b) Hersha's son Jordan owns a business that assembles computers. He believes in giving his workers responsibility to plan their own work. 'I just let them get on with their jobs as I'm sure that this freedom motivates them' he said. 'I help organise training for them if they need it'.

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(i) Do you think that responsibility motivates employees? Explain your answer.

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(ii) Describe and explain Jordan's management style.

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(iii) To what extent might training help the performance of employees in Jordan's business?

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2 Pedro has recently set up a small business washing cars in a supermarket car p... charges $4 per car cleaned and estimates his variable costs as being $1 per car. He... weekly overheads of $600 including a marketing budget of $60.

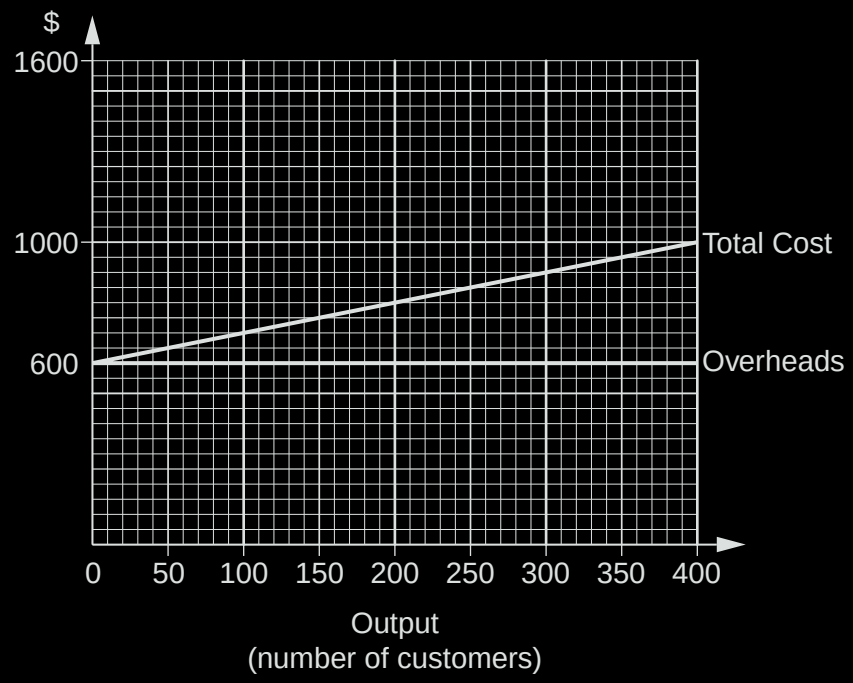


Fig. 1

(a) (i) Draw the sales revenue line on Fig. 1 above. [2]

(ii) State the breakeven output shown on the chart.

.....[1]

(iii) State the breakeven revenue earned by the business.

.....[1]

(b) Pedro believes that the demand for his services is price elastic. Should he consider increasing the prices that he charges? Justify your answer.

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(c) **(i)** What is meant by a 'marketing budget'?

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(ii) Why do most businesses have a marketing budget?

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(d) If Pedro's business is successful he hopes to use the profits to expand the business and to make *Pedro Car Wash* a well known brand name.

(i) Explain the term 'brand name'.

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(ii) How could this brand name help Pedro build up his business?

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3 Sudhir Yadav lives in a city in country Z. The city has a big Indian population. When he was looking for a business opportunity he identified a niche market in selling saris and sh clothes to Indian ladies. He imports the clothes from country X and sells them to retailers his city.

(a) Explain the term 'niche market'.

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(b) Sudhir's business is that of a wholesaler. Why do you think that retailers in country Z don't buy their clothes directly from the suppliers?

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(c) If the currency of country Z appreciated in value how would this affect the profitability of Sudhir's business? Explain your answer.

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(d) (i) A recent report into working conditions in different countries suggested that s... suppliers paid very low wages to their employees. The report also stated that ... employed child labour working long hours. Do you think that Sudhir should continu... to buy from these firms? Justify your answer.

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(ii) The government in country Z is passing tougher consumer protection laws on materials used in clothing. How might this affect Sudhir's business in the future?

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4 Sunny has been General Manager of a business for a number of years. She has r... identified a business opportunity that would require a lot more capital. Her financial adv... recommend that she converts the business into a Public Limited Company.

(a) Discuss the consequences to this business of the possible change to a Public Limited Company.

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(b) Sunny would use any extra capital to invest in new technology. This should benefit the business by cutting costs and improving efficiency. Some managers have told her that new technology often causes problems.

(i) Why might new technology cut the costs of a business?

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(ii) Why might new technology cause problems for a business?

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(c) The government in Sunny's country has recently passed new laws concerning working conditions. These include Health and Safety at Work laws and a maximum number of hours that can be worked per week.

Do you think that employees always benefit from such laws? Justify your answer.

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5 Aglahor Enterprises manufacture a range of kitchen equipment for the home. Fig. 2 shows data concerning their 3 best selling products (coded x, y and z). In 2000 Aglahor's sales were valued at $90m, while by 2007 they had grown by a further $60m. The total value of the market for kitchen equipment in 2007 was $1200m.

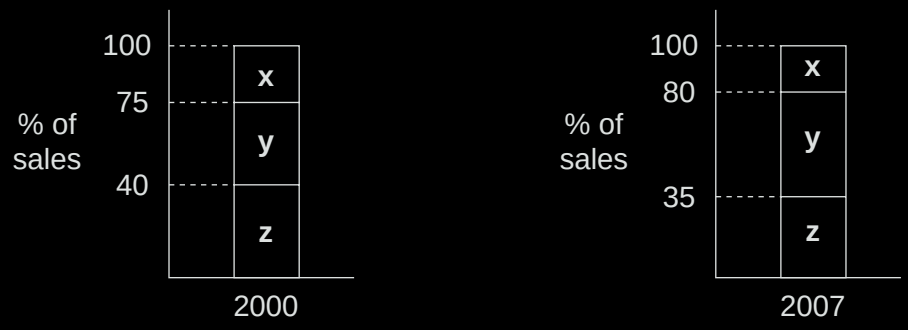


Fig. 2

(a) Calculate

(i) The value of sales of product **x** in **2007**.

.....[2]

(ii) The market share of Aglahor Enterprises in 2007.

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.....[3]

Aglahor Enterprises use flow production methods to manufacture their products. Some of its rivals use batch methods of production.

(b) (i) What is meant by 'batch production'?

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(ii) Explain **two** benefits of flow production methods.

Benefit 1: .....

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Benefit 2: .....

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(c) Recently sales of one of Aglahor Enterprises products (a coffee machine) have been falling. The pattern of sales is shown in the product life cycle shown in Fig. 3.

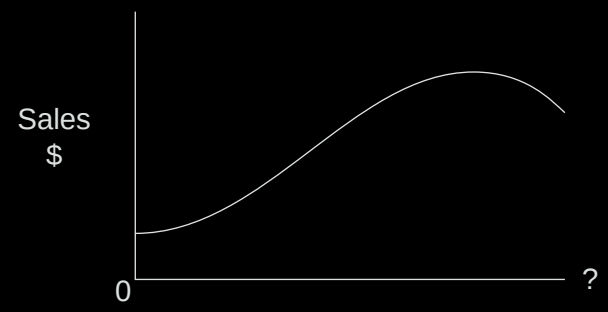


Fig. 3

(i) Label the x axis on Fig. 3. [1]

(ii) How might Aglahor Enterprises try and extend the product life cycle of its coffee machines?

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(d) Explain **two** benefits to the management of Aglahor Enterprises of sales forec their products.

Benefit 1: .....

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Benefit 2: .....

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Second Variant Question Paper

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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

1123781728

BUSINESS STUDIES **7115/12**

Paper 1 **October/November 2008**

1 hour 45 minutes

Candidates answer on the Question Paper.

No Additional Materials required.

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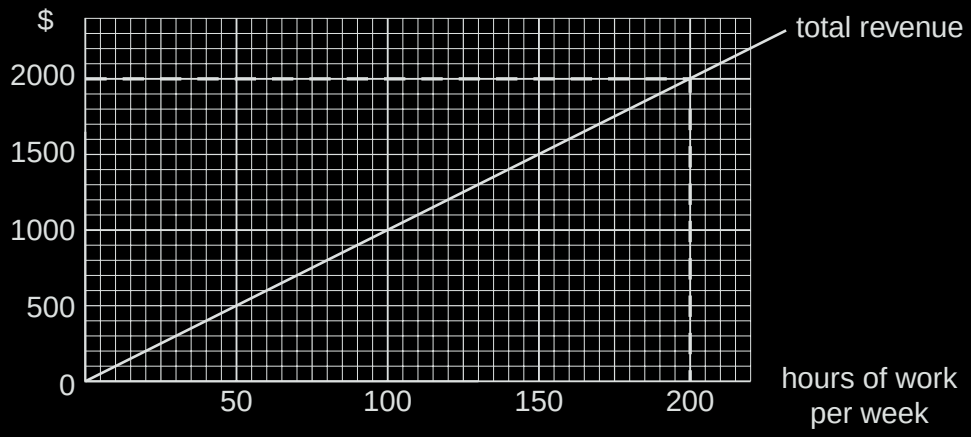


Fig. 1

(iii) Use the chart to calculate how many hours of work per week have to be done for the profits of the business to be $200.

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(b) (i) Explain **one** method that Sigrid could use to increase the number of customers for her business.

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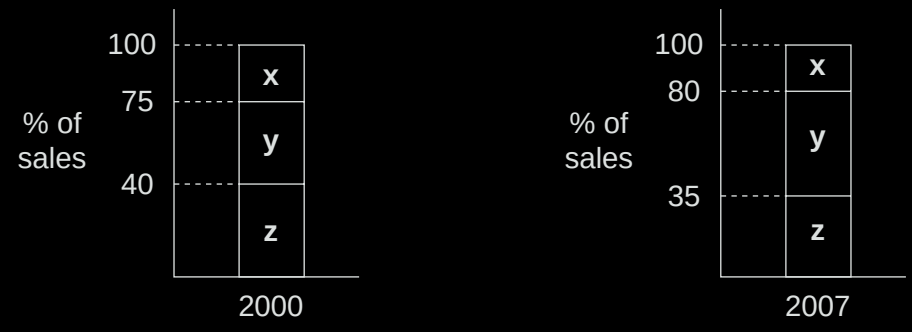


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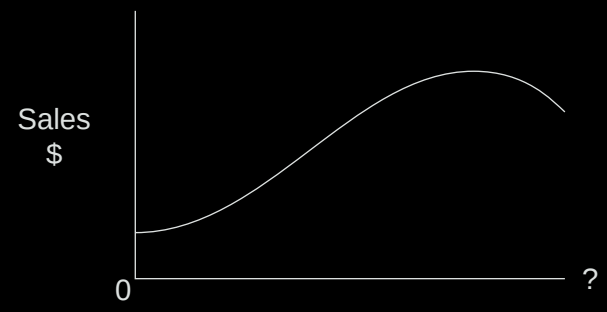


Fig. 3

(i) Label the horizontal axis on Fig. 3. [1]

(ii) How might Aglahor Enterprises try and extend the product life cycle of its coffee machines?

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